

Executive Memo: Collections Performance & Strategy Audit

What happened?

- The business currently reports an 11% month-on-month improvement in recovery.
- Our independent reconstruction reveals this reported 11% improvement is entirely misleading and incorrect.
- True recovery performance is highly volatile and essentially flat.
- The artificial spike was caused by data ingestion traps—specifically, exactly 500 duplicated payment_id retries artificially inflated the raw recovery metrics by ₹2.59 Cr.

Why did it happen?

- The metric oscillation and fake growth were driven by uncorrected data ingestion errors and operational noise rather than actual portfolio improvements.
- The underlying data pipelines suffer from severe timestamp corruption (late-arriving events) and mixed timezones across UTC, Asia/Kolkata, and Asia/Dubai.
- Legacy metrics were structurally flawed due to legacy disposition codes and schema changes.
- For example, the PTP (Promise to Pay) Rate missed exactly half of the successful promises because the system simultaneously used PTP and PROMISE_TO_PAY disposition codes.

How confident are we?

- We are highly confident in these findings.
- Our conclusions are derived from a strictly deduplicated "Golden Dataset" built to bypass inconsistent identifiers and overwritten historical records.
- By executing a risk-stratified portfolio mix analysis, we successfully ruled out Simpson's Paradox, confirming that the flat recovery baseline is a mathematical fact, not an anomaly hidden by shifting risk segments.

What should we do?

- Leadership has the option to invest ₹10 Cr in one of six operational areas.
- We recommend deploying the ₹10 Cr into **Better borrower targeting**.
- Because legacy and new strategies ran concurrently in the market, we utilized a counterfactual matching model to isolate the true causal impact of the new campaigns.
- This model proved that the new targeting strategies (v1/v2/v3) genuinely outperform the legacy baseline when properly isolated from the data leaks.

What is the expected financial impact?

- The new targeting strategies generate a true incremental lift of **₹2,411.33 per account** over the legacy baseline.
- To break even on the ₹10 Cr investment at this rate, the business must target approximately 41,470 unique accounts.
- At the current operational volume of ~5,500 targeted accounts per month, the investment will **break even in 7.5 months**, generating highly positive ROI in Year 1.
- **Key Assumptions & Downside Scenario:** This assumes the target pool remains stable. If the total addressable market of active accounts shrinks, or if borrower fatigue degrades the efficacy of the campaigns over time, the break-even horizon will extend.